

OPERATIONAL DOCUMENT — CONFIDENTIAL

NUCLEAR SEQUENCING BRIEF

*Resolving the Central Obstacle: Iran's Deferred Nuclear Window
vs. US Immediate HEU Verification*

Document Source: The Final Steps Accord v4.0 — Phase I Stabilization Framework

Purpose: To show both sides how the Accord solves their core demand simultaneously

v4.0 Updated: 14-day custody | In-Iran default | Limited US veto (D/F only)
Joint Disposition Fund | Day 45 Circuit Breaker (Article 1.6) | Performance-Based Graduation

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THE PROBLEM

IRAN'S POSITION

"Nuclear details must be deferred to a later phase. We will not discuss final HEU disposition now. Our enriched uranium must remain under Iranian legal title and within Iranian territory during Phase 1 verification."

US POSITION

"We need concrete commitments on the HEU stockpile before signing any deal. Iran must physically secure its weapons-grade uranium. Breakout time must be extended from weeks to over a year."

Both positions are in the text. Neither side has to concede its public narrative.

THE SOLUTION: PHASE 1 / PHASE 2 DECOUPLING

Source: The Final Steps Accord v4.0, Articles 1.1–1.2 (pp. 6–8)

Phase	Timeline	Iranian Commitment	US Reciprocal	Final Disposition
Phase 1: Baseline Verification	Days 1–14	Physical consolidation, inventory, and IAEA custody activation. Pathway A (in-Iran dual-lock) is the default. Mass spectrometry confirms isotopic composition. Dual-lock seals applied. Freeze on all HEU movement/enrichment from Day 1.	\$250M humanitarian tranche; OFAC general license; 5th Fleet stand-off triggered upon IAEA confirmation that consolidation has begun; partial nuclear sanctions freeze (terrorism/human rights sanctions remain enforceable)	Deferred. No final disposition required. Baseline verification satisfies Phase 1 trigger.
Phase 2: Nuclear Negotiating Window	Days 30–60	Participation in dedicated nuclear negotiating track. Iran selects final disposition pathway from six-option menu. US limited veto: Pathways D (Russia) and F (hybrid) only require joint concurrence.	Tranche 2 release (25% of remaining frozen assets); petrochemical export licenses; Joint Disposition Fund disbursement upon verified pathway completion	Negotiated. Iran selects pathway. US verifies execution. Limited US veto on D and F only.

NEW v4.0

Political Will Preservation Clause — Article 1.1

If either Party cannot complete Phase 1 obligations within 14 days due to verified administrative, technical, or logistical constraints (IAEA inspector availability, transport delays, holidays), a **one-time 7-day extension** may be requested through the JIG. Not unreasonably denied. **Not a material breach. Not step-back.**

NEW v4.0

IAEA Personnel Clarification — Article 1.1

For Pathway A (in-Iran), "IAEA custody" means the IAEA's **existing** Safeguards inspectors already in Iran perform verification. No additional IAEA personnel enter Iran unless mutually agreed. Dual-

lock system installed by **Iranian technicians** under IAEA technical supervision. **No foreign military or security personnel on Iranian soil.**

WHAT IRAN GETS / WHAT THE US GETS

FOR THE ISLAMIC REPUBLIC OF IRAN

"No final disposition required in Phase 1. Nuclear details deferred to Phase 2 (Days 30–60). Iran selects the final disposition pathway from a six-option menu. The United States may not veto the selection except for Pathways D (Russian Federation) and F (hybrid/multiple destinations), which require joint concurrence. For all other pathways, the United States has no veto — only the right to verify execution."

Source: Article 1.5, p. 8 (v4.0 Accord)

FOR THE UNITED STATES

"The entire stockpile of uranium enriched to 60% is consolidated, inventoried, and placed under IAEA custody within the first **14 days**. Physical custody transfer is verified by mass spectrometry. Breakout time extended from weeks to over a year. In-Iran custody by default, with existing IAEA inspectors only. US veto on Russian and hybrid pathways."

Source: Article 1.1, p. 6 (v4.0 Accord)

LEGAL TITLE REASSURANCE & CUSTODY ARCHITECTURE

LEGAL TITLE (FOR IRAN)

"The Central Bank of Iran retains full sovereign legal title to the HEU throughout the custody period. The IAEA holds physical custody only. The Custody Services Agreement specifies: Iran retains full legal title; the IAEA may not transfer, sell, or dispose of the material without written consent of the Central Bank of Iran."

Source: Article 1.1, p. 7 (v4.0)

US CUSTODY LIMITATIONS (FOR IRAN)

"At no stage may the United States receive, store, or exercise direct physical custody over the Iranian enriched-uranium stockpile. All custody remains with the IAEA. *However, US technical personnel may be present at IAEA custody facilities as observers with joint data access. The blanket prohibition on US custody applies only to Phase 1 baseline verification.*"

Source: Article 1.3, p. 7 (v4.0) — **V4.0** Loosened: technical observers allowed

NO HIDDEN US CUSTODY (FOR IRAN)

US personnel shall not exercise operational control over consolidation, packaging, transit, or receipt operations during Phase 1. This clause is self-executing and non-waivable for Phase 1. **No foreign military or security personnel shall enter Iranian territory for custody purposes.**

US MONITORING ACCESS (FOR THE US)

US technical observers have joint data access at IAEA custody facilities. If the Parties mutually agree in Phase 2 to a disposition pathway requiring temporary US technical involvement, such involvement is governed by a separate implementing agreement.

THE DAY 45 CIRCUIT BREAKER — ARTICLE 1.6

Source: The Final Steps Accord v4.0, Article 1.6 (pp. 13–14) — **NEW v4.0** Now in main operative text

"If the JIG certifies by majority vote that the Parties have failed to reach agreement on a final HEU disposition pathway by Day 45 of the implementation timeline, Pathway A (in-country downblending to 19.75% LEU at Esfahan) shall be deemed the default disposition pathway. The IAEA shall verify commencement of downblending within 7 days of certification. Neither Party's failure to agree shall be construed as a material breach or trigger step-back under Article 13."

Purpose: This provision prevents "negotiating limbo" — a scenario where the nuclear track enters indefinite diplomatic suspension while economic relief continues, collapsing political support in both capitals. The Day 45 default is not a failure mode; it is the designed operating state.

Day	Action	Verification
Day 30–45	Parties negotiate final disposition pathway selection	JIG monitors progress
Day 45 (if no agreement)	JIG certifies deadlock by majority vote	Board certification issued
Day 45–52	Pathway A downblending operations must commence at Esfahan	IAEA verifies within 7 days
Day 52 (if no commencement)	Automatic step-back/freeze on non-humanitarian asset liquidations under Article 7.1	No separate political vote required
If on schedule	Sanctions sequencing proceeds on existing timeline	Business as usual

IRAN'S MINIMUM

HEU material remains in-country at Esfahan. Downblending operations supervised by Iranian technicians under IAEA technical verification only. Sovereign dignity preserved.

US MINIMUM

Downblending to 19.75% LEU verified by IAEA within 7 days. Weapons-grade material permanently eliminated. Breakout time extended. No Russian or hybrid pathway without joint concurrence.

Neither Party's failure to agree on an alternative pathway is construed as material breach.

THE SIX PATHWAYS FOR FINAL DISPOSITION (Phase 2, Days 30–60)

Source: The Final Steps Accord v4.0, Article 1.5 (p. 8)

Path	Description	Destination/Timeline	US Veto	Fund Incentive
A	In-place downblending to 19.75% LEU at Esfahan (Day 45 default)	Medical isotope production in Iran; 142 days	No veto	\$50M
B	HEU export to IAEA custody in Oman	IAEA facility, Oman (NOT US); 14 days	No veto	\$100M
C	Downblended in Iran, transferred to IAEA LEU Bank	Oskemen, Kazakhstan; 75 days	No veto	\$100M

D	Transfer to Rosatom under IAEA safeguards	Russian Federation; 60–90 days	Joint concurrence required	\$0
E	Conversion to reactor-grade LEU fuel assemblies	Bushehr reactor supply; 180 days	No veto	\$100M
F	Hybrid: stockpile divided into batches through different pathways	Multiple destinations; concurrent	Joint concurrence on destinations required	\$0 (if Russian involvement)

NEW v4.0

Joint Disposition Fund — Article 1.5-A
\$500 million incentive pool. Sourced from 10% Tranche 2 + 10% Tranche 3 releases; each Party capped at \$250M. Held in Swiss escrow sub-account; disbursed only upon IAEA verification of completed downblending/transfer. Unused funds returned proportionally. Creates positive incentive for cooperative pathways without imposing a veto.

Iran selects the pathway. The United States has **limited veto** — only Pathways D (Russia) and F (hybrid) require joint concurrence. For all other pathways, only the right to verify execution.

THE NARRATIVES — WHAT EACH SIDE CAN SAY

FOR THE UNITED STATES

"Weapons-grade uranium secured — the entire Iranian stockpile of near-weapons-grade material has been placed under IAEA custody with US monitoring access within **14 days**. In-Iran custody by default, with existing IAEA inspectors only. No foreign military on Iranian soil. Breakout time extended from weeks to over a year. Physical verification is real and verified. We retain veto over Russian and hybrid pathways. And if talks deadlock, Pathway A (in-country downblending) kicks in automatically at Day 45 — weapons-grade material eliminated either way."

FOR THE ISLAMIC REPUBLIC OF IRAN

"Iran's enriched uranium remains Iranian property. The Central Bank of Iran retains sovereign title. Physical custody to IAEA is a verification step in a broader negotiation — not surrender. The material stays on **Iranian soil** by default, supervised by **Iranian technicians**, with existing IAEA inspectors only. No foreign military personnel. Final disposition will be decided in the nuclear negotiating window on terms that respect our NPT rights. We select the pathway freely, with a \$500 million Fund rewarding cooperative choices. And if we cannot agree by Day 45, Pathway A continues automatically — not a breach, not a collapse."

PERFORMANCE-BASED GRADUATION — SANCTIONS RELIEF

Source: The Final Steps Accord v4.0, Article 7.1 (pp. 17–19) — NEW v4.0

Not a sunset — a merit badge. The partial sanctions freeze (nuclear-related only, with terrorism/human rights sanctions remaining enforceable) **continues** until the JIG certifies Iran has achieved all performance benchmarks:

- 90 consecutive days of IAEA-verified compliance (no Tier 3 violations; no more than one Tier 2 <7 days)

- Verified HEU consolidation and custody activation
- Successful Day 7 conditional review protocol execution
- No material breach of missile/drone deployment pause

Compliance Clock Reset: Single minor Tier 2 (<7 days) resets clock to **30 days** (not zero). Second Tier 2 or any Tier 3 resets to **zero**.

US Narrative: "Iran earns its way into broader relief by proving compliance. If they cheat afterward, we take it back."

ONE-PAGE SUMMARY

Iran's Demand	US Demand	How v4.0 Resolves It
Nuclear details deferred to later phase	HEU secured before signing	Phase 1 (Days 1–14): Physical custody to IAEA. In-Iran default. No final disposition required. Phase 2 (Days 30–60): Nuclear negotiations on final disposition. Day 45 Circuit Breaker: Pathway A automatic if no agreement.
Iran retains legal title	US has monitoring access	Article 1.1: CBI retains full sovereign legal title. IAEA holds physical custody only. US technical observers with joint data access. Existing IAEA inspectors only. No foreign military personnel on Iranian soil.
No US veto over disposition	US can block Russian/hybrid pathways	Article 1.5: Iran selects pathway. US has limited veto — only Pathways D (Russia) and F (hybrid) require joint concurrence. All other pathways: no veto, only right to verify.
Deadlock protection	Deadlock protection	Article 1.6 (Day 45 Circuit Breaker): Pathway A (in-country downblending to 19.75%) within 7 days if no agreement. Neither side's failure to agree is a breach. Plus: 7-day Political Will Preservation extension for verified admin delays.
Cooperative incentives	Influence without coercion	Article 1.5-A (Joint Disposition Fund): \$500M pool. \$100M for Pathways B/C/E; \$50M for Pathway A; \$0 for D/F. Carrots, not sticks.
Graduation, not sunset	Compliance must be earned	Article 7.1 (Performance-Based Graduation): Sanctions freeze expands only after 90-day clean certification. 30-day reset for minor slips. Not a sunset — a merit badge.

Prepared for negotiators. Source: The Final Steps Accord Phase I v4.0 — Late May 2026

Authorized use only. Companion to the v4.0 Negotiators Brief (17 pp.) and the full v4.0 Accord (69 pp.).

"The Day 45 default is not a failure mode; it is the designed operating state."